# FLASH: PULTEGROUP, INC. (PHM)

## PHM: 1Q26 Conference Call Takeaways

April 23, 2026

**Rating:**
Peer Perform
**Price:**
$127.56
**Price Target:**
NA

Source: FactSet, Wolfe Research
Priced as of 04/22/26

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**Key Takeaways**

BTO 43% of net new orders vs 40% in 1Q25

- Expect to reach 60% BTO mix goal in early '27

1.4 finished specs per community – back within targeted range after hovering near 2.0 in recent quarters

First quarter developed as typical spring selling season

- Demand conditions remain on track with typical seasonal trends in April

Demand held up better than expected in the quarter

Incentives 10.9% of gross sales price – expect to remain elevated

1H/2H GM improvement driven by BTO mix, more MU/AA (lower incentives), lower finished spec mix - 2Q low GM due to higher spec closings from 1Q sales

Authorized additional $1.5B in share repo – total authorization $2.1B

Capital allocation - focus is on investing in biz – don't think a levered share repo program is right move for shareholders

Seeing land prices move lower in a handful of deals across the country while overall land prices have stabilized

50% of controlled land with underlying land sellers

Maintaining diversified book of land bank partners

- Want risk transfer – looking for the ability to walk away on individual transaction
- 8% of lots with land banks – typically 15% deposit, LDD rate
- 85% of option lots with underlying land sellers

**2Q26 Guidance:**

Closings 6,700-7,100

ASP $540K-$550K - incentives

GM 24.1%-24.4% - low point for '26

SG&A

CC +3%-+5%

**2026 Guidance:**

Closings 28,500 – 29,000 (prior 28,500-29,000)

ASP $550K-$560K (prior $550K-$560K) - up due to higher BTO mix

GM 24.5%-25.0% (prior 24.5% - 25.0%) - higher AA/BTO mix

SG&A 9.5%-9.7% (prior 9.5%-9.7%)

Tax Rate 24.5% (prior 24.5%)

Land Spend $5.4B (prior $5.4B vs $5.2B)

CFO $1.0B (prior $1.0B) – working down house inventory/increased BTO WIP driving incremental increase

CC +3%-+5% (prior 3%-5% growth in ’26 and beyond / 3%-5% growth in all qtrs. in ’26”

Lot inflation (prior +7%-8%)

Still expect vertical costs to be flat to down

**Market Color**

Buyer demand ( 3% growth in new orders) / 1

Concerns with affordability and the economy

BTO 43% vs 40% of Orders - goal remains 60% BTO

Finished Specs 1.4 per community (target 1.0-1.5 per community)

1Q monthly Order cadence increased MoM

Design Center spend $100K

Starts 6,500/ Orders 8,000 – inventory reduction

60% of biz from MU/AA segments

Orders increased in all Fl markets

Can Rate 13% vs 11% - up due to smaller Backlog/unit cancellations were down

Specs 6,439 down 900

45% of WIP

Finished 1,515 down 500 or 24%

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Impairments 20 bps impact / 2 communities

Vertical costs -5% / $75/ft lower lumber and other products

Capture Rate 85%

MW demand more variable - possible weather impacts

TX and West demand slower than rest of country - have work to do to clear specs in CA and WA

Fl has continued to get better over past 12 mos - have seen inventory come down/still elevated North Port / Lakeland

Land Banking

Want as many lots controlled by underlying land sellers - ~85% of controlled lots

Want risk transfer on a single transaction

18K lots in land banks

Land banks want 15% deposits

Carry cost LDD %

Avg deposit is 7.5% for entire company

Cycle times less than 100 days - pre COVID level

ARMs 9% of Closings vs 7%

50%/50% - lot cost/development cost in price of finished lots

Orders

EL -1%

MU +13%

AA +14%

Closings

EL 38% vs 38%

MU 39% vs 41%

AA 23% vs 21%

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**GM/SG&A**

H-Rev $3.3B, -12% YoY

Closings -7%

Closings 6,102

ASP $542,00 -5% - downs MSD across all buyer groups

GM 24.4% - higher incentives

Total SGA $380M

11.5% POS, +100 bps YoY

EPS $1.79

CC 1,043 + 9%

Absorptions -5% / 2.6

Orders +3% - 8,034

**Balance Sheet/Other:**

Repurchased 2.4M shares for $308M

$127.39 per share

Approved $1.5B increase to repo authorization, remaining auth $2.1B

Shares -5%

DTC 12.3%

Net Debt ~0%

$1.8B cash

Land Spend $1.3B

50% development

50% land acquisition

Lots 230K down 5K QoQ

Owned 35K

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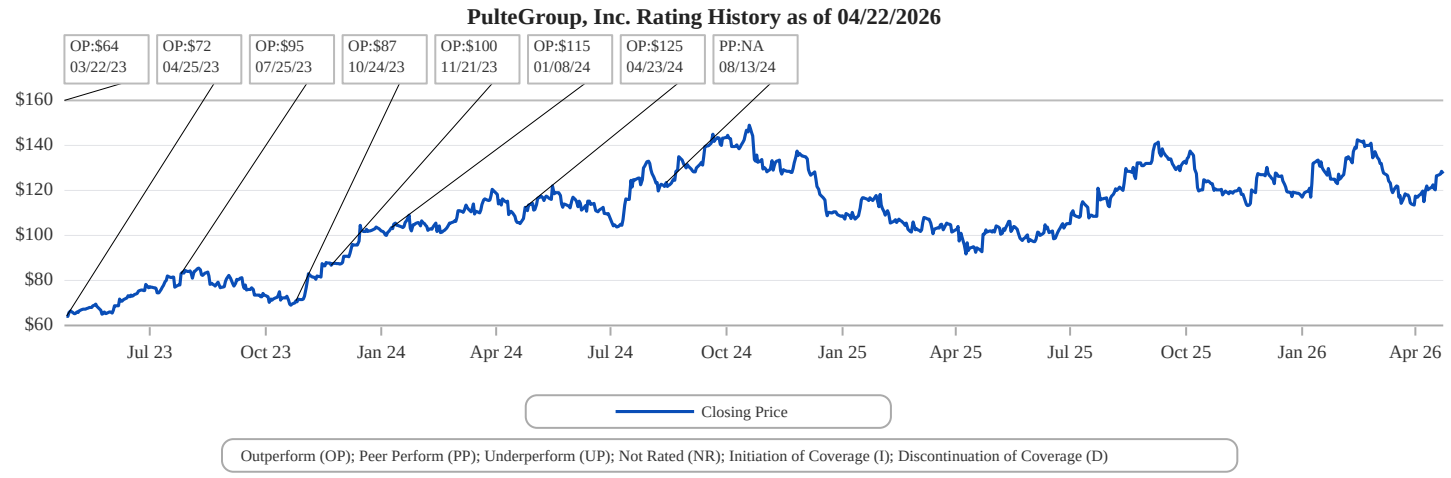
**Price Chart(s) with Ratings and Target Price History**

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| Company: | Fundamental Valuation Methodology: |
|---|---|
| PulteGroup, Inc. | We do not currently have a price target on PHM shares. If we had a price target, we would use a forward P/BV multiple to value shares. |

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| Company: | Risks That May Impede Achievement of the Recommendation, Rating or Target Price: |
|---|---|
| PulteGroup, Inc. | Downside risks to our Peer Peform rating include rising mortgage rates negatively impacting homebuyer demand while upside risks include stronger relative demand from Active Adult buyers given PHM's increased exposure to that consumer. |

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|---|---|
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| | | |
|---|---|---|
| Outperform: | 52.00% | 4.91% Investment Banking Clients within the previous 12 months |
| Peer Perform: | 43.13% | 1.41% Investment Banking Clients within the previous 12 months |
| Underperform: | 4.86% | 0.00% Investment Banking Clients within the previous 12 months |

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